Financial Analysis

Revenue Growth and Scale

D-Wave remains a small-scale, early-stage commercial business. The historical dataset covers fiscal 2020 through fiscal 2025, with revenue increasing from **$5.160 million** in fiscal 2020 to **$24.587 million** in fiscal 2025. The latest reported revenue growth was **178.5%**, reflecting a sharp increase from fiscal 2024 revenue of **$8.827 million**.

Although the fiscal 2025 revenue acceleration is significant, the absolute revenue base remains limited. This is important for valuation because the company's market value depends primarily on future commercialization rather than current profitability. The forecast uses fiscal 2025 as the base year and projects revenue to reach **$255.4 million** by fiscal 2032.

Table 1. Historical Income Statement Profile

Fiscal Year	Revenue	Revenue Growth	Gross Profit	Operating Income	Net Income
2020	$5.160	NA	$4.245	-$31.467	-$10.000
2021	$6.279	21.7%	$4.529	-$38.948	-$31.500
2022	$7.173	14.2%	$4.250	-$59.458	-$51.500
2023	$8.758	22.1%	$4.622	-$80.546	-$82.700
2024	$8.827	0.8%	$5.563	-$77.223	-$143.879
2025	$24.587	178.5%	$20.306	-$100.368	-$355.062

Gross Margin and Revenue Quality

D-Wave's gross margin profile is strong relative to its current scale. Gross margin was **82.6%** in fiscal 2025, supported by gross profit of **$20.306 million** on revenue of **$24.587 million**. This indicates that the company can generate high gross profit per dollar of revenue once revenue is recognized.

However, strong gross margin alone does not yet translate into profitability. The company remains in a high-investment stage, and operating expenses materially exceed gross profit. As a result, the quality of revenue is best interpreted as evidence of potential operating leverage rather than evidence of current earnings power.

Table 2. Historical Margin Profile

Fiscal Year	Gross Margin	R&D / Revenue	SG&A / Revenue	Operating Margin	Net Margin	FCF Margin
2020	82.3%	395.6%	296.5%	-609.8%	-193.8%	-583.1%
2021	72.1%	404.5%	287.9%	-620.3%	-501.7%	-586.1%
2022	59.2%	447.5%	440.6%	-828.9%	-718.0%	-637.1%
2023	52.8%	432.5%	540.0%	-919.7%	-944.3%	-699.1%
2024	63.0%	399.9%	538.0%	-874.8%	-1,630.0%	-510.2%
2025	82.6%	206.3%	284.5%	-408.2%	-1,444.1%	-310.3%

R&D and SG&A Intensity

The central financial issue is not gross margin, but operating expense intensity. In fiscal 2025, R&D expense was **$50.734 million**, or **206.3% of revenue**, while SG&A expense was **$69.940 million**, or **284.5% of revenue**. Combined, these operating expense categories substantially exceeded both revenue and gross profit.

This cost structure is consistent with an early-stage technology company investing ahead of revenue scale. Nevertheless, the magnitude of R&D and SG&A intensity means that the investment thesis depends on material operating leverage over time. Without sustained revenue growth and declining operating expense ratios, strong gross margin will not be sufficient to produce normalized profitability.

Operating Losses and Net Losses

D-Wave remains loss-making at both the operating income and net income levels. Fiscal 2025 operating income was **-$100.368 million**, corresponding to an operating margin of **-408.2%**. Net income was **-$355.062 million**, corresponding to a net margin of **-1,444.1%**.

The historical trend shows persistent operating losses throughout the dataset. Operating income was negative in every year from fiscal 2020 through fiscal 2025, ranging from **-$31.467 million** in fiscal 2020 to **-$100.368 million** in fiscal 2025. Current profitability therefore does not provide a meaningful basis for valuation. Instead, the company's valuation depends on the ability to convert high gross margins into operating leverage as commercialization scales.

Cash Burn and Liquidity

Free cash flow remains negative. Fiscal 2025 operating cash flow was **-$71.982 million**, capex was **$4.307 million**, and free cash flow was **-$76.289 million**. This implies cash burn of **$76.289 million** and a free cash flow margin of **-310.3%**.

Despite the burn profile, liquidity improved substantially by fiscal 2025. Cash and equivalents were **$635.347 million**, marketable securities were **$249.134 million**, total debt was **$35.959 million**, and net cash was **$848.522 million**. Based on cash and equivalents divided by cash burn, the latest cash runway was **8.3 years**.

Table 3. Cash Flow and Liquidity Profile

Fiscal Year	Operating Cash Flow	Capex	Free Cash Flow	Cash Burn	Cash Runway
2020	-$29.300	$0.789	-$30.089	$30.089	NA
2021	-$34.800	$1.999	-$36.799	$36.799	0.3 years
2022	-$45.200	$0.498	-$45.698	$45.698	0.2 years
2023	-$60.600	$0.630	-$61.230	$61.230	0.7 years
2024	-$42.643	$2.395	-$45.038	$45.038	4.0 years
2025	-$71.982	$4.307	-$76.289	$76.289	8.3 years

Table 4. Balance Sheet and Net Cash Position

Fiscal Year	Cash and Equivalents	Marketable Securities	Total Debt	Net Cash
2021	$9.500	NA	$12.453	NA
2022	$7.100	NA	$9.902	NA

Fiscal Year	Cash and Equivalents	Marketable Securities	Total Debt	Net Cash
2023	$41.307	NA	$64.249	NA
2024	$177.980	$0.000	$30.476	$147.504
2025	$635.347	$249.134	$35.959	$848.522

Forecast Assumptions

The forecast is built from fiscal 2025 as the latest historical base year. Revenue is projected using revenue growth assumptions, gross profit is projected using gross margin, and R&D and SG&A are projected as percentages of revenue. EBIT equals gross profit minus R&D and SG&A, taxes are calculated only when EBIT is positive, and free cash flow equals NOPAT minus capex and working capital investment.

By fiscal 2032, the forecast shows revenue of **$255.4 million**, EBIT of **$2.6 million**, free cash flow of **-$15.7 million**, and cash and equivalents of **$9.9 million**. The forecast implies improving operating leverage, with R&D and SG&A declining as a percentage of revenue over time, but free cash flow remains negative through fiscal 2032.

Table 5. Forecast Snapshot

Fiscal Year	Revenue	Revenue Growth	Gross Margin	EBIT	Free Cash Flow	Cash and Equivalents
2026	$44.257	80.0%	78.0%	-$120.378	-$126.131	$509.216
2027	$70.811	60.0%	76.0%	-$126.751	-$135.248	$373.968
2028	$102.675	45.0%	74.0%	-$113.970	-$124.237	$249.730
2029	$138.612	35.0%	72.0%	-$94.256	-$106.731	$142.999
2030	$177.423	28.0%	70.0%	-$62.098	-$76.292	$66.708
2031	$216.456	22.0%	68.0%	-$25.975	-$41.127	$25.581
2032	$255.418	18.0%	66.0%	$2.554	-$15.708	$9.873

Overall, the financial profile supports a valuation framework based on future commercialization rather than current profitability. D-Wave has demonstrated strong gross margin and a substantial net cash position, but the business still has very high operating expense intensity and negative free cash flow. The key investment question is whether revenue growth can scale quickly enough for operating leverage to offset the current cost base.

Note: All figures in this section are sourced from the financial analysis and forecast model outputs. No additional financial figures are introduced.